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The scenario below builds on and asks a number of questions regarding the Etsy case. Note, however, that all questions can be answered based on the information provided below, even without recall of the Etsy case. Please assume that all information in the scenario is correct. You may need to scroll down to read parts (a), (b), (c), and (d) of the question. [20 points in total]

Etsy was founded in 2005 as an e-commerce retailer of handmade or vintage crafts. In its early days, the firm managed a community in which the concerns of its independent craft makers (called 'sellers'), its employees, and its customers were more important than firm profits. After a decade of controlled growth, Etsy went public, making its stock available on the New York Stock Exchange. The business struggled in the years thereafter, however, and in 2017, the shareholders replaced long-time CEO Chad Dickerson with Josh Silverman. Silverman undertook a number of changes, many of which were initially unpopular and which resulted in a loss of jobs and satisfaction among many longtime Etsy employees. Even though average wages have increased, employee satisfaction has never rebounded to the level it had been before the firm went public. Since 2017, however, Silverman's changes have increased the number, satisfaction, and average profitability of the firm's sellers, increased the number of the firm's buyers, the desire of those individuals to pay for Etsy products, and kept Etsy prices unchanged. Etsy's platform innovations have even allowed it to lower its total average costs between 2017 and the present, though the firm still faces considerable competitive pressures, often deals with employee complaints, and has not changed its presence in the local communities in which it operates.

(a) Based on the information above, please explain whether (and why) you believe that Etsy's value creation and capture has changed since 2017. [6 points]

(b) Based on the information above, please explain whether (and why) you believe that value capture by Etsy's customers has changed since 2017. [3 points]

(c) Please explain whether the three perspectives on Stakeholders that we discussed in Week #11 would approve of Etsy's actions since 2017. [9 points]

(d) Based on your analyses in the prior section and assuming that Etsy has always behaved in an ethical way, please explain whether you would consider Etsy to be a "Force for Good" and why/why not. [2 points]

(Please write your essay response on a separate piece of paper)

2. Please read the scenario below and answer the questions on Ethical Breakdowns and Business Ethics that follow. You may need to scroll down to read parts (a), (b), and (c) of the question.

SofiaCo is a small sneaker manufacturing firm headquartered in Boston MA that was founded and wholly-owned by its CEO, Dr. Sofia. In order to achieve Dr. Sofia's goals of providing high-quality sneakers to its customers while also surviving in competition against industry giants like Nike and Adidas, SofiaCo keeps its costs as low as possible. It minimizes the number of meetings it holds, provides high incentives for executives to keep costs low, and rewards those who are able to achieve efficiency in all aspects of the firm. As part of its efforts to keep costs low, it outsourced its manufacturing to a firm, named AmberCo, in the tiny country of Enchancia. SofiaCo could then import the sneakers from Enchancia and sell them at low prices in the US market. AmberCo's CEO, Amber, had secretly been providing bribes to important local politicians in order to help AmberCo avoid paying taxes. This benefits the economically needy people of Enchancia greatly, but without these bribes, manufacturing costs for both AmberCo and SofiaCo would be high enough that they would drive both firms to go bankrupt. Although Dr. Sofia had some suspicions about Dr. Amber's practices, early successes in working with AmberCo, led Dr. Sofia to agree to work with them more closely. In 2024, SofiaCo's CFO, James, learned of Amber's bribes and informed Dr. Sofia immediately, thus raising an important ethical concern for the CEO and her firm.

- (a) Please use the frameworks introduced in the "Ethical Breakdowns" reading of Week #12 (by Max Bazerman and Ann Tenbrunsel) and the information provided in the mini-case to explain why the firm may have engaged in the ethically-questionable behaviors, even though Dr. Sofia seems like a socially-conscious CEO. [6 points]
- (b) Please analyze the ethical issue that Dr. Sofia faces after learning of the corruption, applying each of the four major perspectives on ethics that we read about in the Week #12 note on "Business Ethics" (i.e., do not analyze the issue from the perspective of "Josephson's Core Values Analysis and Decision Process," which was the fifth perspective described in that reading). Please make any necessary assumptions but be sure to state them clearly if you make any. [12 points]
- (c) Please use analyses to make a recommendation regarding what you think Dr. Sofia should do about the bribery. [2 points]
- (Please write your essay response on a separate piece of paper)*

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3. In Week #11, we read about Andy King and Ken Pucker's concerns regarding "Win-Win" strategies. Which of the following statements about their views is least accurate?
- A. The authors suggest that society should address social and environmental challenges by encouraging firms to develop win-win strategies, like shared value creation, that balance profit and purpose.
 - B. One of the authors' key concerns regarding win-win strategies is the authors fear that such strategies delay or hinder the adoption of more effective systemic solutions.
 - C. According to the authors, win-win strategies rely on attractive promises that often do not stand up to rigorous empirical analysis.
 - D. The authors argue that win-win strategies are problematic for addressing social and environmental issues because they distract attention from the difficult trade-offs and systemic changes required for real progress.
 - E. An example of a win-win approach that about which the authors would be skeptical is the proposal that that firms in the chemical industry should engage in self-regulation (i.e., regulation without government oversight) because doing so will lead to greater profits and better environmental performance.
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4. According to our readings this semester, which of the following statements is **least true** about Strategy?
- A. One of the defining features of Strategy is the firms should focus like a laser on beating their rivals, because existing rivals constitute the only core threats to their profitability.
 - B. One of the implications of Porter's Five Forces framework is that firms will sometimes need to pay attention to products that are outside their industry, because these could threaten their profitability.
 - C. One of the central ideas of the Competitive Positioning framework is that firms should make tradeoffs with regards to prices and the scope of the market they would like to serve.
 - D. SWOT analysis provides a straightforward way to list important advantages and challenges inside and outside of the firm.
 - E. Porter and Kramer consider the effort to Create Shared Value to be of strategic importance to the firm.
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5. Suppose that the following facts about the hospital market in the Boston were all accurate: (1) there are many hospitals in Boston and they all compete against each other aggressively on price and quality and (2) hospital care for all individuals over 65 years old was paid for by a government program called Medicaid while insurance companies and individual patients paid for hospital services received by individuals under 65. Based on those two facts which of the following statements is **least true**?
- A. The Industry Value Chain for hospital services could be usefully represented like this: (medical staff & medical equipment suppliers) --> hospitals --> patients.
 - B. We would expect the market for hospital services to deliver a number of good things, including competition, innovation, and relatively low prices.
 - C. We would not be especially worried about market power in the Boston hospital market.
 - D. Information asymmetry problems could affect the hospital market, the insurance market, or both.
 - E. Buyers in the hospital market are likely to capture value as a consequence of the aggressive competition among hospitals.
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6. This question tests your understanding of Arbitrage and the Efficient Market Hypothesis. Which of the following statements about those issues is **least true**?
- A. Buying a stock that you expect to increase in value represents an opportunity for arbitrage.
 - B. The core idea of the Efficient Market Hypothesis is that financial asset prices quickly and accurately incorporate all available information.
 - C. There are multiple forms of the Efficient Market Hypothesis, each of which varies in its implied strength.
 - D. Arbitrage opportunities often arise when markets are geographically separate from each other.
 - E. One of the implications of the Efficient Market Hypothesis is that it is difficult to beat the market (i.e., to earn spectacularly high profits) when trading assets using publicly available information.
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7. You can earn a free point on the exam if you answer the following question. Which of the following cases that we read and discussed this semester was your favorite? [Note: The only ways you would NOT earn the point would be if you either do not answer the question or if you select the one case on the list that we never discussed this semester.]
- A. Super Soaker
 - B. Etsy
 - C. Carter Racing
 - D. Another case that you have not listed!
 - E. Chandra-Park Aquariums
 - F. IBM/Constance Hotels
 - G. Takeda/Accenture
 - H. Google's Project Oxygen
 - I. Coffee Shop Simulation (note: for the purposes of the exam, let's consider this to be a case)
 - J. TikTok
 - K. Warby Parker
 - L. The Week 9 cases: Bell Labs, Google, Used Cars, Prohibition, Cannabis, and Solar Power
 - M. Enron
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8. Which of the following statements about Milton Friedman's view of stakeholders is **most accurate**?
- A. Friedman would urge managers to care deeply about the concerns of stakeholders who do not own stock in a company if those stakeholders have the ability to negatively affect the firm's net income.
 - B. Friedman believes that shareholders are the most important of all stakeholders because of the social compact between shareholders, society, and managers.
 - C. Friedman believes that returning profits to shareholders is morally right, although he recognizes that doing so is not in the best interests of society.
 - D. Friedman believes that diverting potential profits to managerial interests is justifiable if managers previously owned stock in the company.
 - E. Friedman would eagerly endorse behaviors that make the company look environmentally friendly even if they do not increase firm profits in the short- or long-term.
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9. In the Discussion for Week #10, we read about Robert Gordon's concerns regarding the future of innovation and economic growth. Which of the following statements about Gordon's concerns is **least accurate**?
- A. Gordon argues that, because it provided machines that provided humans with their first relief from the thousands of years of burdensome physical labor, the First Industrial Revolution achieved improvements in economic growth that can never be replicated.
 - B. Gordon argues that, even though computers and internet-based commerce have transformed the economy, the productivity impact of the Third Industrial Revolution was relatively short-lived.
 - C. Gordon fears that a series of factors, including rising inequality, educational stagnation, and rising energy costs, may constrain future economic growth in the United States.
 - D. Gordon might agree with the techno-optimists that digital tools (e.g., Artificial Intelligence, machine learning, and robotics) could contribute to impactful innovation, but he nonetheless worries that the Second Industrial Revolution one-time event in human history and worries that future innovations will not have the same impact on society as things like indoor plumbing.
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10. Which of the following scenarios provides the best example of a situation in which Moral Hazard might arise?
- A. If a person in a relationship were to guarantee their romantic partner, "I want you for worse or for better. I would wait for you for ever and ever."
 - B. If an insurance company were able to offer insurance policies that it could revoke if it determined that policyholders engaged in risky behavior (i.e., if its customers did anything risky, it could cancel the policy or avoid paying customer claims).
 - C. If the US Federal government were prevented by law from bailing out companies.
 - D. If sellers of low-quality cars are more likely to put their cars up for sale than sellers of high-quality cars.
 - E. If a person sharing an umbrella with a friend were to say, "When the sun shines, we shine together."
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11. Which of the following statements is **least true**?
- A. Sole proprietorships, i.e., firms owned and managed by the same individual, are among the firms most affected by the principal-agent problem.
 - B. A principal-agent problem could arise in the context of getting a haircut if you hire a stylist to cut your hair.
 - C. One of the key issues in the principal-agent problem arises because the agent is more well-informed about what needs to be done than the principal.
 - D. The Board of Directors is the group that represents the shareholders in reviewing the most important decisions of a firm's management. Hiring External Directors, i.e., individuals who do not work for the firm, is helpful in addressing the Principal Agent Problem associated with managing a publicly-traded corporation.
 - E. Although perfect solutions to the principal-agent problem are not possible, providing the correct incentives and engaging in monitoring can help mitigate the extent of the problem.
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12. Which of the following statements about business functions is **least accurate**?
- A. Whereas the Balance Sheet provides insight into firm profitability over a particular time period the Income Statement provides a snapshot of the firm's overall financial position.
 - B. Management Information Systems help gather, structure, and make available data and other key information that enables Business Analytics, Marketing, Operations Management, Management, and other firm functions to make informed decisions.
 - C. Marketing is principally concerned with understanding and helping the firm to serve customer interests.
 - D. Strategy is explicitly concerned with understanding rivals and long-term firm performance.
 - E. One of the key insights in Finance is that investors will expect higher returns when making riskier investments.
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13. In the Discussion for Week #10, we read about, "Creative Destruction." Which of the following statements about Creative Destruction is **least accurate** in describing the ideas of that reading?
- A. One of the implications of Creative Destruction is that market power, once achieved, is essentially permanent in most industries.
 - B. One of the ideas of the article is that a society cannot reap the rewards of Creative Destruction without accepting that some individuals and firms might be made worse off as a result of Creative Destruction.
 - C. If OpenAI's ChatGPT product were to replace Google search as the main internet search engine, thus leading to the collapse of Google search and its associated company, this would be an example of Creative Destruction.
 - D. The fact that only half of the hundred largest public companies listed on the New York Stock Exchange were among the top hundred in 1970 is an example of Creative Destruction in action.
 - E. One of the key tensions in Creative Destruction arises between entrepreneurial firms (i.e., start up companies) and incumbents (i.e., companies that already compete in an industry).
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14. Which of the following is not one of the causes of ethical breakdowns, according to the article "Ethical Breakdowns," by Max Bazerman and Ann Tenbrunsel?
- A. blank spaces
 - B. ill-conceived goals
 - C. motivated blindness
 - D. slippery slopes
 - E. overvaluing outcomes
 - F. indirect blindness
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15. Which of the following is **most true** of Porter's Value Chain?
- A. Porter's Value Chain tells us principally about the internal activities of the firm, a key element of which is how they fit together.
 - B. Porter's Value Chain is one of the key tools for thinking about exposure to rivalry in the industry in which a firm competes.
 - C. Porter's Value Chain is an essential building block in his subsequent creation of the theory of Shared Value Creation.
 - D. Porter developed his Value Chain as an alternative to the Industry Value Chain.
 - E. Porter developed the "Porter Value Chain" to help answer the question of whether they should compete based on high prices or low costs and whether they should serve the entire market or just a segment of the market in which they compete.
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16. Which of the following statements about markets and institutions is **least true**?
- A. An example of an extractive economic institution would arise if a government attempted to break up a company that had been fairly convicted of antitrust violations.
 - B. Inclusive economic institutions require accountable and transparent governments that represent the interests of the majority rather than a privileged elite.
 - C. An example of an inclusive economic institution would be a system of taxation that is transparent and treats firms and individuals in ways that are unaffected by their political affiliations or network connections.
 - D. One of the key lessons associated with inclusive economic institutions is that governments often play a key role in providing the infrastructure and rules that enable businesses to function effectively and create value for society.
 - E. Countries with inclusive economic institutions are more likely to experience sustained prosperity compared to those with extractive institutions that concentrate power and wealth.
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17.

The minicase below asks a number of questions that build on the Carter Racing Case. You may need to scroll down in order to answer parts (a), (b), (c), and (d) of the question. [20 points in total]

(a) Suppose that you had worked faithfully for Carter Racing for years and that, after their season ended, the owners of Carter Racing retired and gave you the firm as a gift. Suppose that the firm was worth \$10m at the time and that, immediately upon accepting the gift and control of the firm, you took out loan from a local bank for \$1m, which you immediately spent on new equipment to maintain the cars. Supposing that nothing else changed about the firm's finances, please explain how these transactions would affect the Balance Sheet? [4 points]

(b) Suppose that the following three facts are true: (1) two of your next strategic moves involved hiring away a star driver from a rival racing firm, who then passed along to you some information about R&D that had helped their prior firm win races; (2) scientists discovered that the noise from race tracks was causing hearing loss among local communities; (3) consultants realized that competition among racing teams helped drive innovation in racing that enabled firms be efficient in managing their teams. Do any of these three suppositions suggest that there are market failures that affect racing firms? If so, please identify them and explain how they drive market inefficiencies. [6 points]

(c) As the prior sub-question suggested, one of the key aspects of the racing business involves hiring the right drivers for your team. Salaries are a key determinant of the driver labor market, as is the personality fit between the driver and the team. Based on your understanding from the case and from the prior questions, would you consider the market for race car drivers to be a matching market, a platform market, both, or neither? Please explain your answer. [6 points]

(d) Suppose that after a few decades of success in racing, you were approached by rival racing firm that was experiencing some financial difficulties and that asked if you wanted to become an Equity Investor or a Debt Investor in the firm. Suppose that you considered the idea and decided you wanted to make a risky bet that had a potentially high upside. Should you accept the offer to be an Equity Investor, a Debt Investor, or to put your money in the Stock Market instead? Please explain your answer in 1 sentence or less. [4 points]

(Please write your essay response on a separate piece of paper)